

developed in the book you hold in your hands. He was partial to the special situations in which Graham-Newman was to become so successful. Thus, when a high-flying and highly complex American International Corp. fell from the sky in 1920, Graham was able to show that the stock was cheap in relation to the evident value of its portfolio of miscellaneous (and not especially well disclosed) investment assets.²⁰ The shocking insolvency of Goodyear Tire and Rubber attracted his attention in 1921. “The downfall of Goodyear is a remarkable incident even in the present plenitude of business disasters,” he writes, in a characteristic Graham sentence. (How many financial journalists, then or later, had “plenitude” on the tips of their tongues?) He shrewdly judged that Goodyear would be a survivor.²¹ In the summer of 1924, he hit on a theme that would echo through *Security Analysis*: the evident non sequitur of stocks valued in the market at less than the liquidating value of the companies that issued them. “Eight Stock Bargains off the Beaten Track,” says the headline over the Benjamin Graham byline: “Stocks That Are Covered Chiefly by Cash or the Equivalent—No Bonds or Preferred Stock Ahead of These Issues—an Unusually Interesting Group of Securities.” In one case, that of Tonopah Mining, liquid assets of \$4.31 per share towered over a market price of just \$1.38 a share.²²

For Graham, an era of sweet reasonableness in investment thinking seemed to end around the time he entered Wall Street. Before, say, 1914, the typical investor was a businessman who analyzed a stock or a bond much as he might a claim on a private business. He

¹⁹ Ibid., p. 145.

²⁰ Benjamin Graham, “The ‘Collapse’ of American International,” *Magazine of Wall Street*, December 11, 1920, pp. 175–176, 217.

²¹ Benjamin Graham, “The Goodyear Reorganization,” *Magazine of Wall Street*, March 19, 1921, pp. 683–685.

²² Benjamin Graham, “Eight Stock Bargains off the Beaten Track,” *Magazine of Wall Street*, July 19, 1924, pp. 450–453.